BUSINESS
DIAMOND INDUSTRY

The Lost SPARKLE

India's diamond industry is undergoing a seismic shift as demand for natural stones declines and lab-grown alternatives rise, leaving skilled artisans grappling with dwindling incomes and uncertain futures

By JUMANA SHAH *in Surat*



BIDDING TIME Diamond traders sitting idle at the Mahidharpura Market in Surat

What is a diamond without its sparkle? Well, a slump in demand and drop in prices are robbing it of some of its sheen even as the new kid on the block—the lab-grown diamond or LGD—is increasingly gaining global acceptance among consumers. And nowhere is it more apparent than in Surat, the hub of the diamond industry in the country.

Ask Suresh Solanki, a 30-year-old highly skilled diamond polisher, who once earned a comfortable Rs 60,000 a month. Today, he struggles to make Rs 300 a day doing odd jobs. In the cramped, windowless 20 sq. ft room he shares with his wife and three children in Gujarat's diamond city—where the kitchen, bed and wash area all blur together—life feels rougher than ever. His wife's workstation, a defunct sewing machine needing Rs 1,600 in repairs, sits idle, just like their hopes for better days.

Wholesale prices of natural diamonds have plunged nearly 30 per cent over the past year, according to Rapaport, an independent diamond and jewellery industry news platform. Demand from China and Hong Kong has dropped to a third of pre-pandemic levels, while the US demand is now half of what it was in 2021. Meanwhile, the wholesale prices of LGDs have plummeted 70 per cent since 2018, even as demand for these synthetic gems continues to rise.

GLOBAL MELTDOWN

India's diamantaires are following global cues. De Beers, the world's largest producer and distributor of diamonds, cut its production by 15 per cent, following a 26 per cent slide in sales during the first half of 2024, according to a report by Rapaport. In July, the company reported that its rough diamond sales fell 22 per cent year-on-year to $1.95 billion (Rs 16,000 crore), while its rough price index dropped 20 per cent. In 2018, De Beers launched its LGD brand, Lightbox



"THE INDUSTRY IS UNDERGOING A TURBULENT TIME AND ONE OF THE MAJOR FACTORS IS DEMAND-SUPPLY DISRUPTION. BUT DOMESTIC (INDIAN) MARKETS ARE VERY POSITIVE

VIPUL SHAH
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